ACTIVITY 5

LEVELS:
Grade 12, University Preparation

COURSES AND EXPECTATIONS:
Canada and World Issues
HE2.06, GC3.04, UCV.03, UC1.02, UC2.03

TASK:
Your students will engage in a simulation game about the global economy.

EXPECTATIONS:
The student will:
- *Examine how countries are interdependent.*
- *Discuss how trade policies affect the environment.*
- *Examine the consequences of economic colonialism.*

TIMEFRAME:
75 Minutes

ACHIEVEMENT CATEGORIES:
Knowledge / Understanding
Thinking / Inquiry
Communication
Application / Making Connections

MATERIALS:
Supplementary Sheets 3 to 8; Student Worksheets 4 to 8; Red and Green Beads; Containers for beads; Scissors, Markers

VOCABULARY:
Economic colonialism
International trade

*Beads can be substituted for coloured squares of paper

The Global Economy Game

Procedure

1. Your students are going to become major players in the global economy. Make sure you review the entire game before playing. Give each student a copy of the Student Instructions (See Supplementary Sheet 7)

2. Use the chart below to determine the total number of role cards you will need:

	Total Number of Students													
Role	**12**	**14**	**16**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	**25**	**26**	**28**	**30**
G Country – Gov't 1	1	2	2	2	2	2	3	3	3	3	3	3	3	3
G Country – Gov't 2	1	2	2	2	2	2	3	3	3	3	3	3	3	3
L Country – Gov't 1	3	4	4	5	6	6	6	6	6	7	7	8	9	10
L Country – Gov't 2	3	4	4	5	6	6	6	6	6	7	7	8	9	10
Local Banker G	1	T	1	1	1	1	1	1	1	1	1	1	1	1
Local Banker LDC	1	T	1	1	1	1	1	1	1	1	1	1	1	1
WTO	1	1	1	1	1	1	1	1	1	1	1	1	1	1
World Bank / IMF	1	1	1	1	T	1	T	1	2	1	2	1	1	1
Total Check	12	14	16	18	19	20	21	22	23	24	25	26	28	30

Legend

T =	Teacher
G Country =	Western Country
L Country =	Southern Country or Lesser Developed Country
IMF =	International Monetary Fund
WTO =	World Trade Organization

3. You will need the following materials:

- Health and Education Budget Sheets (1 per G and LDC Country) (See Student Worksheet 3)
- Banker Sheets (3 copies cut in half for each banker) (See Student Worksheet 4)
- IMF/WB Loan Sheet (1 for WB/IMF representative(s)) (See Student Worksheet 5)
- WTO Fine Sheet (1 for WTO representative(s)) (See Student Worksheet 6)
- Trade checklist (I per G and LDC country)(See Student Worksheet 7)
- Total Beads needed for your class size (See Supplementary Sheet 8)
- Total Money needed for your class size (See Supplementary Sheet 3 and 4)
- Role Cards (enough for each student). Follow the guide above for how many role cards you need) (See Supplementary Sheet 5)
- Trading Cards (See Supplementary Sheet 7, 8 and 9)
- Name Tags (1 per student)

4. Hand out the role cards to the class randomly (See Supplementary Sheet 2). Make sure that you follow the guide above for total numbers. In most cases, you will have two students per country. They will share the role. Allow the players 5-10 minutes to review their role with their partner and determine their strategy.

5. Distribute nametags to everyone. Have everyone write the name of their country (e.g. G1 or LDC 2) on the name tag and wear the nametag so that it is visible.

6. Explain that the purpose of the game is to keep the education and health services running in their country. In order to do this, countries must trade their goods.

7. Have the local banker hand out the following:

    - Instruction sheets for Trading Round 1 (See Supplementary Sheet 6)
    - The education and health budget sheets (See Student Activity Sheet 3)
    - The red and green beads (See Supplementary Sheet 4)
    - $100 Million to each country (See Supplementary Sheet 4 and 5)

    The money is used to buy imported goods for the country. Countries do not have access to any more money at this stage. Once the banker has distributed everything, give everyone another 5-10 minutes to review his or her trading round cards. While your students are reviewing their instructions, circulate to make sure everyone understands the instructions.

8. When everyone is ready, the first round of trading can begin.

9. Once the trading is completed, countries must fill out their budget forms (financial, education and health). At this point, both the WTO representative and World Bank representative (s) will be circulating among the LDC countries. If a country can't balance its budget, it must take out a loan in multiples of 25.

10. Once the countries have worked out their budgets, they must deposit their health and education money in their local bank. The local banker will then give the countries $100 Million for trading, the instruction sheets for Round 2 and the right number of red/green beads.

11. When everyone is ready, the second round of trading can begin. Repeat step 9 and 10 but at the end of this round, the local banker will distribute the instruction sheets for the third and final round of Trading Rules.

12. When everyone is ready, the third round of trading can begin. Repeat steps 9 and 10 again. At the end, the countries deposit their final contributions to their health and education budgets with their local banker.

13. Have the students return to their seats.

DEBRIEFING SESSION
Begin by asking your students to express their feelings about the game and their roles.
Suggested Questions:

- Ask the country groups how much money they have left. What are their debts? How did they reach a position of surplus/deficit?
- What were the priorities for each country when deciding their budgets? Why? Did their priorities change during the game? If so, why?
- What were your impressions of the trade rules? Were they fair/unfair?
- Can you explain the role of the IMF, World Bank and World Trade Organization?
- Discuss the impact of international trade on rich and poor countries. Based on the game, who seems to benefit?
- What can be done to relieve poor countries of their debt burden?
- Discuss how this simulation reflects international trade in the world.
- As a citizen of Canada, what is your role in international trade?
- What can you do to improve this situation of trade imbalance?

After the debriefing, summarize international trade using the background information provided.

SUGGESTED HOMEWORK

1. How would you define the term "globalized” economy?
2. Choose a country in the world and provide specific examples of how it has been affected by globalisation.
3. Has the country you chose benefited from globalisation of the world economy? Why or why not?
4. Support your conclusions with specific examples of benefits or losses.